



NetPicks Futures Tutorials



The basics of Futures
Trading

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Futures 1, 2, 3

We wanted to develop a course that can take someone who is a brand new trader and teach them everything they need to know about Futures Trading, so they will be comfortable with possibly trading in this market. You will discover that there are many different types or classes of futures contracts, as they can cover many different markets that can be traded.

Here is an overview of the topics we will cover:

What is a Futures Contract

Where are they traded

How does Futures Trading Work

Margin Requirements

Understanding Ticks and Contract Value and Leverage

How Futures Differ from Other Financial Instruments

How to know which Futures Contract Month to Trade

Up Down Limits on Contracts

Spreads and Bid-Ask Price and Slippage

Order Types

Final Steps, Selecting a Broker and Account Size

Let's start out with the definition of what a futures contract is and give you a few terms that will help you understand and then give you a history of how these contracts came into existence.

In finance, a futures contract (more colloquially, futures) is a standardized

agreement between a buyer and a seller to exchange an amount and grade of an item at a specific price and future date. The item or underlying asset may be an agricultural commodity, metal, mineral or energy commodity, a financial instrument or even a foreign currency. Because futures contracts are derived from these underlying assets, they belong to a family of financial instruments called derivatives.

History of Futures Trading

Futures are among the oldest derivatives contracts. They were originally designed to allow farmers to hedge against changes in the prices of their crops between planting and when crops could be harvested and brought to market. As such, many futures contracts focus on things such as livestock (cattle) and grains (wheat). Since these beginnings, the futures market has expanded to include contracts linked to a wide variety of assets, including precious metals (gold), industrial metals (aluminum), energy (oil), bonds (Treasury bonds) and stocks (S&P 500).

Now that you have a basic idea of what futures contracts are let's take a look at where it all started. The first futures exchange market was the Dojima Rice Exchange in Osaka, Japan in 1710. It came to meet the needs of samurai who were paid in rice, and after a series of bad harvests, they needed a stable conversion to money. Their main purpose was to help provide stability to price and reduce risk to the producer and the consumer of these goods.

In 1864 the Chicago Board of Trade (CBOT) listed the first-ever standardized 'exchange traded' forward contracts, which were called futures contracts. This contract was based on grain trading and started a trend that saw contracts created on a number of different commodities as well as a number of futures exchanges set up in countries around the world.

In 1898 the Chicago Mercantile Exchange (CME) was founded as the Chicago Butter and Egg Board, an agricultural commodities exchange. Originally, the exchange was a non-profit organization. The CME went private in November 2000, and went public in December 2002, and merged with the CBOT in July 2007 to become the largest Exchange and Market Maker for most all Futures Contracts. They also merged with the New York Exchanges (NYMEX, and COMEX) for Oil and Gold contract trading. This is now all owned by the CME Group. Their headquarters is on 20 South Wacker Drive in Chicago, and you can visit this exchange in person.

I went to the exchange when I was in Chicago and saw the "pits" as they call them, where people yell out prices and buy and sell contracts on the floor of the exchange. They had a welcome video that gives you a very simple view of futures trading and what the exchange does. It is well worth watching, and you should visit the exchange some time if you want to see it firsthand.

<http://bcove.me/f4fm35st>

Where are Futures Traded

Here is a list of some names of the Exchanges and many of the popular Futures Contracts so you can get a feel of the exchange you will be dealing with and these various instruments.

Chicago Mercantile Exchange (CME)- S&P 500, Nasdaq 100

New York Mercantile Exchange (NYMEX)- Crude Oil, Natural Gas, Heating Oil (COMEX)- Gold, Silver, Copper

Chicago Board of Trade (CBOT)- Dow, Corn, Soybeans, Cattle, Wheat

Intercontinental Exchange(ICE)-Russell 2000 index

Eurex Exchange (EUREX)-DAX, EURO Bund, EURO Bobl

Futures trading is regulated. Here in the United States, the Commodity Futures Trading Commission (CFTC) is the independent government agency. The National Futures Association (NFA) is an independent, self-regulating organization and watchdog of the commodities and futures industry. They oversee and protect investors from fraudulent commodities and futures activities.

How does Futures Trading Work

Futures traders are traditionally placed in one of two groups: hedgers, who have an interest in the underlying asset and are seeking to hedge out the risk of price changes; and speculators, who seek to make a profit by predicting market moves and opening a derivative contract related to the asset "on paper."

Some examples of Hedgers are Farmer's manufactures, importers, and

exporters. They buy or sell in the market to secure the future price of a commodity. This helps protect against price risk. Speculators typically fall into three categories: position traders, day traders and swing traders. They are just trying to profit from the price of the commodity going up or down. They have no interest in taking delivery of the commodity once the contract expires.

These investors or Speculators are required to put up funds or a Margin to control this contract they are purchasing. This is to minimize the risk to the exchange and to make sure that the contract will be covered. Usually, the margin is 5% to 15% of the contract's value.

To minimize the risk to traders, trades executed on regulated futures exchanges are guaranteed by a clearing house. The clearing house becomes the buyer to each seller, and the seller to each Buyer, so that in the event of a counterparty default the clearer assumes the risk of loss. This insures that trades will be executed at a price listed on the exchange.

Margin Requirements

The initial margin is the equity required to initiate a futures position. It is a type of performance bond. The maximum exposure is not limited to the amount of the initial margin; however, the initial margin requirement is calculated based on the maximum estimated change in contract value within a trading day. Initial margin is set by the exchange. So, your broker will give you your minimum account balance that is required to trade various markets.

It is possible that if the value of your contract goes down, you might be required to add funds to your account to bring the balance up to the minimum margin required. You can always sell the contract for a loss; however, if you are holding a position longer than a day, the brokers want you to have a larger margin. So, there are two margins, day trading margin, which assumes that you will close the trade out the same day; and overnight margin, which assumes that you will hold the position overnight. That carries more risk so that the margin will be higher.

In most cases, when we trade we don't hold the trade for very long (day trade) and we teach you to use just a very small amount of risk or leverage on each trade. So it would be very rare that you would ever get a margin call unless you are trading a very small account and the broker is letting

you use more leverage than you should. We just wanted to let you know that there is risk in trading and that margin calls are possible if you are overtrading for your size account. We will go over account size and risk later in the education.

Let's talk about Leverage. When you buy or sell a futures contract, you don't need to pay for the entire contract at the time the trade is initiated. Instead, the individual makes a small up-front payment to initiate a position. For example, one gold contract controls 100 troy ounces of Gold. Let's say Gold is trading at \$1200 you are controlling \$120,000 worth of Gold, but only have to have about \$5000 for an initial margin on your account to trade the one contract.

Understanding Ticks and Contract Value and Leverage

Now that you know how much gold you are controlling let's take a look at how the value of the contract will change with each tick of price movement. So, a tick is the smallest amount of price movement on that market. I am sure that most of you are familiar with stocks and how they trade. They move in cents, so the smallest tick on a stock is .01 or one cent. The value of each tick, in the case of a stock, is dependent upon how much stock you own, right? If you have 100 shares and it moves one tick (or .01 one cent), then you have made $100 \times .01$ or a Dollar.

With futures, the value of each tick depends on upon the commodity that you are trading. For gold, each tick has a value of \$10 and the tick size is .10 (Ten Cents). Other markets have smaller Tick Values so that they can be traded with smaller accounts. For example, the Nasdaq is \$5 a tick, and it moves in .25 increments per tick. So, if the Nasdaq moves up four ticks ($4 \times .25$), the value of the contract would increase by four times \$5 or \$20.

All of this information is listed on the CMEGroup for each instrument so don't worry if it seems complex. You will want to learn more about the Futures market that you are looking to trade so that it will become second nature, and it will be as easy as trading something like a stock if you are familiar with that. Here is the page on gold at the CMEGroup with all of the specifications.

http://www.cmegroup.com/trading/metals/precious/gold_contract_specifications.html

How Futures Differ from Other Financial Instruments

There are some other key differences in Futures markets as compared to other financial instruments. For starters, the value of a futures contract is determined by the movement of something else (the underlying asset) and the futures contract itself has no inherent value. Secondly, futures have a finite life. Unlike stocks, which can stay in existence forever, a futures contract has a set expiration date after which the contract ceases to exist. This is not a major factor in the contract you will be trading is almost always the one with the most volume, and so it is very liquid, but you need to know which contract you should be trading.

Let's take a look at some contracts and volumes on these contracts, so you know which one to trade. Again all of this information is on the Exchange website here, but I will put it in a screen shot for example.

http://www.cmegroup.com/trading/metals/precious/gold_quotes_volume_voi.html

If you look at the website on Gold, you will see that the contract you should be trading is February 2015. It has the most volume. You also see that it changes each month. Some Futures contracts like the S&P 500 or Soybeans change quarterly, but you will know which one by the most volume.

As you get towards the end of the month or quarter, you will see that volume goes down on the current month contract and increases on the next month contract. It is very simple, switch to the next month contract once the volume is greater on that contract.

Here is a great example on Oil on December 16th.

You see that there is more volume on the January contract, but that Feb is getting higher, so keep trading January. This next shot shows volume split almost equal, the next day. So that would be your last day of trading the January contract, move to the February Contract on Dec 18th. See how easy that is!

Also, you see there is some volume on March contract, but those are just some Hedgers, all of the Speculators (day traders) are on the February contract. They also have the information on the last day the contract will

expire, so you know in advance when to start watching the volume. Like I tell everyone in the trade room, you should know your market.

I can tell you that you will switch Oil contracts around the 19th of every month. The exact date is listed on the Exchange site and so you know if it will happen a few days before the 19th or a few days after. In the case below, it happened a few days before as the Settlement date was listed as Dec 19th. Most brokers will not let you trade a day before settlement date, but that is the last day possible. It also gives you the Symbol to trade for each month.

How to know which Futures Contract Month to Trade

That is another question we get all the time. What symbol are we trading? So, if you know where the volume is and look it up on the site you have all this information, but why is the Symbol or Product Code in this example CLF15. We can break that down for you. CL gives you the base Contract name in this case Crude Oil, and the 15 is the year 2015. What about that Letter in the middle. Why is F used for January? Why not A for the first letter of the Alphabet and the first month of the year? I am not sure why, but there is a table that shows you what letter is used for each month, as they never change you can refer to it.

Sometimes, you will skip letters and some markets like I mentioned earlier don't trade each month, but the contracts change each quarter. I have attached a picture of the S&P Emini; you will see that the contracts trade each quarter. I have also attached a picture that shows you the table of the letter used for each calendar month of the contracts.

Up Down Limits on Markets

Some futures markets have a maximum price advance or decline in a contract from the previous day's settlement price permitted during one trading session. This is usually only on the Agricultural products that can have some extreme moves in a one-day session. Here is a screen shot of Corn Futures from the CME website, showing you the Limit up and down price allowed for the session. It rarely comes into play, but you need to be aware of it, if you are trading on one of those days and the market has moved very closely to the up or down limit. Trading will not be allowed to go

past those limits for that day.

Spreads and Bid-Ask Price and Slippage

Most every market has a Bid and an Ask price. The bid is the price you can buy the contract, and the asking price is the price you can sell the contract. The difference between these two prices is called the spread. In most all futures contracts the spread is very small, maybe one tick of price movement. Other markets like Heating Oil Futures, the spread, is larger, because there is less volume and it is thinly traded. Also, if you trade outside of the normal market hours, there is less volume and the spread can get larger. In most of the trading we do with Oil or the S&P Emini, there is a lot of volumes and the spread is the smallest it can be, 1 tick.

When you place an order, you might not get filled at that exact price. The price might shoot up quickly, and so you get your order filled at a higher price than you wanted, usually just a tick or two more than your price, this is called slippage. Slippage is quite common and can't be avoided in trading, so you just have to accept it as a cost of doing business.

You can try and minimize it by, using a Stop Limit Order. This tells your broker that you only want to enter that market at that exact price. The problem is that your order might not get filled and the market moves up to your target, and you miss the trade. This is the only way to control slippage on the entry price, but like we said, it is normal to get zero to 2 ticks of slippage on a fast moving market. It is possible to get "positive slippage" where you get a better price than you asked, maybe on the entry or the target, but that is not as common as "regular negative slippage."

Order Types

I mentioned Stop Limit Orders before when I talked about limiting spread. Here is a listing of the various order types and what they do. In most cases, you enter the position with a limit order, and you exit the order at a limit order or a stop order. I just wanted to tell you what the other order types mean.

Market Order- This is executed immediately at best possible price at the market. You don't know what it might be, but it should be close to the current market price. You don't use this much unless you want to quickly enter or exit the market, due to some situation.

Stop Order- This is used on the Entry and the exit for the trade. The Stop Order converts to a Market Order once price reaches the Stop Order price. However, you are not guaranteed to fill at that exact price.

Limit Order- This is used to set an exact price you want to enter or exit the trade. You can still have slippage on this type of order.

Stop Limit Order- This is a combination of a Stop and Limit order. On the Entry price, once price reaches the Limit entry, you can specify how much slippage you want to take on the trade, one or two ticks or more. You never want to use this as the stop on your trade, because price can go through your stop price and you don't fill. So, you wanted to be out of the trade, but you are still in.

Final Steps, Selecting a Broker and Account Size

There are many futures brokers out there, and so you should do some research on your own. Make sure they are regulated; they can be the US or Overseas Broker as Futures is traded on global markets. Each broker will have a different minimum account size to open. Also, as we discussed, you will need a certain minimum margin in the account to trade different contracts. Beware of some Metatrader 4 brokers. Metatrader is mostly used for the Spot Forex market and so they don't specialize in futures trading. I think that you will find that the spreads are much larger than a dedicated futures broker. This will cost you money on every trade. Finally, some MT4 brokers don't trade the most liquid contracts, so make sure you check with the exchange and look up the volume on the contract they are offering.

Your account size will vary by the market you are looking to trade. We talked about different contracts and leverage and value of each market. The exchange has a minimum margin on each market, and the broker will also have one for day and swing trades. You need at least 5,000 to open and trade 1 contract on some of the smaller value contracts and larger amounts on other markets like Oil, or the DAX. This is because the Nasdaq is \$5 a tick, and Oil is \$10 a tick, and the DAX is \$25 Euros. Here is a chart of the account minimums for some of the markets.

Now that you know most everything you need to get started, you will want to find a company with a trading strategy that you can use to give you high probability trades. Then open a demo account and practice. Learn about

the particular market that you are going to trade and then once you have proven to yourself that you can make money in the demo and execute the trades. Then start out trading a very small amount of money and make sure you can stick to the trade rules with real money.

We here at Netpicks pride ourselves on teaching new traders. We give you a sound trading strategy, a live room to demo, practice and learn. Exact trade plans that guide you in each trade and tell you exactly when and when not to trade. With these tools, you should be able to become a successful trader. You can learn more at www.netpicks.com.

Futures Trading



Futures trading has been a long time favorite at NetPicks.

In fact, when we started back in 1996 one of the first futures markets we traded and taught was trading the S&P futures contract - full-size.

These days, futures trading has advanced significantly.:

- **Near instant execution**
- **Low-cost trading**
- **Multiple market choices**

Individual traders, in particular, are well served with the E-Mini futures contracts.

You can choose from the S&P, Nasdaq, Dow, Russell, and more.

Futures trading of commodity contracts such as the Energies, Agricultural,

Metals and Financial instruments are all available and highly liquid.

Perhaps our favorite aspect of futures trading is they tend to fit our mantra **"Get in, Get out, Get done"** when it comes to our futures trading.

Primarily day trading, we look to reach what we call our **Power of Quitting** and finish most trading days as quickly as possible.

With set hours, and small periods of the best volatility you'll find futures trading can be ideal for the active individual trader.

Learn Futures Trading

To learn futures trading, it's important to realize you have several areas that you'll need to learn and master.

Futures contracts are different than your typical stock shares, in particular because you are trading a future price, and these are all expiring contracts.

It's important to know both how to chart the futures contract, trade the correct front month contract (**always where we day trade**) and understand the numerous nuances to futures trading.

The learning curve can be shortened with the right education.

Beginning Futures Trading

For those brand new to trading Futures, we recommend you start here:

- [What Is Futures Trading?](#)
- [Online Future Trading](#)
- [What is Options Trading?](#)
- [Learn To Trade Futures Online](#)
- [How To Trade Futures](#)

For The Intermediate Futures Trader

Intermediate Futures traders are those with some experience under their belts and looking to expand their knowledge:

- [Learn How To Trade Grain Futures](#)

- [Crude Oil Trading Basics](#)
- [Futures Trading Charts](#)
- [Future Trading Software](#)
- [Learn How To Auto Trade With Optimized Trading Systems](#)

Advance Futures Trading

Even after trading for years, it is always a good idea to continue to grow your knowledge base.

- [Automated Futures Trading Systems](#)
- [Day Trading Crude Oil Futures Explained](#)
- [3 Tips To Improve Your Trading Performance Now](#)
- [When Do Candlestick Patterns Really Work?](#)
- [Learn To Trade Futures With the M6E](#)

Futures Trading Videos

Futures Trading Systems	Online Futures Trading	Day Trading Crude Oil Futures Explained
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Futures Trading Strategies

Futures trading strategies tend to be highly technically bases. We typically find that developing a complete trade plan is key.

A trading plan consists of an exact futures trading strategy. These futures trading strategies are typically made up of a set of indicators along with clear cut rules to ensure we always know our exact entry, stop and target on every trade we place in the futures markets.

This is essential because you will be utilizing leverage in the futures markets, and that must be clearly defined.

You'll want a combination of software, trade plans and training including ongoing live support to master trading these markets.

Future Trading Systems

If you want to be an active day trader, futures are really the way to go.

But to some, the world of futures trading is a dangerous business – a world where fast money and blown up accounts often go hand-in-hand.

And the simple fact is that this is not an unusual reality in the industry.

But there's another reality for those who understand the risks involved and maintain appropriate safeguards: trading futures markets is one of the most efficient ways to use your capital.

There are at least 3 highly compelling reasons to trade and moreover day trade futures markets. [Read more](#)

Crude Oil Futures Trading Basics

Any trader can learn how to trade crude oil futures. Just make sure you respect the risk and realize that you have to treat this as a very serious and professional endeavor

Crude oil is a very volatile market that most newcomers to trading should avoid.

However, it's good to understand this trading instrument so you can see the potential opportunities in trading it once you become more skilled as a trader..

Treat it like a business and approach it with the same due diligence that you would apply to any business opportunity. [Read more.](#)

3 Tips to Improve Trading Performance Now

In a world where the information available to us is growing at an exponential rate, we must be mindful of the fact that we have a limited capacity to receive, process and incorporate ideas into our own lives.

So as a principle, it's wise to reserve your effort for those things that are likely to make the biggest difference to whatever it is that you're trying to achieve.

Here are 3 tips to improve trading performance that will make a genuine difference. [Read more](#)

Futures Trading Charts

If you do a search for “futures trading charts” or “commodity trading charts” on the internet you will be presented with millions of results, obviously too many to check out individually. This article will present you with a few of the major options available to you.

The first place to look for **futures trading** charts is with your broker. Almost every broker will offer some kind of charting capability, and if they don't provide their own charting software then they will give you access to third party charting software. One very powerful and popular charting software package used by many futures brokers is NinjaTrader. You can go to their website, ninjatrader.com, to see a list of their brokerage partners which at this time includes over sixty names.

The NinjaTrader software can plot a wide variety of chart types and time frames and includes a long list of technical indicators. One limitation of the software is that the amount and quality of available data is limited by the broker. Most brokers do not offer more than a few days or weeks of historical data, while others offer no historical tick data at all, severely limiting the technical analyst's ability to back test his **trading ideas and systems**. This problem can be obviated by the use of a third party data provider such as CQG or Kinetic (which is owned by NinjaTrader). In Figure 1 you can see a simple chart of the **light crude oil** Jan. 2014 futures contract on a NinjaTrader chart. A pair of exponential moving averages, Volume and RSI were added to the chart.



Figure 1 - NinjaTrader

If your broker is TradeStation then you already have one of the most powerful charting software packages available to individual customers. TradeStation was a charting software provider before it became a broker and this shows in the depth and breadth of features supported by the software. Compared to other options it can be expensive although often new customers can obtain good deals when signing up. It provides all of the flexibility and power in charting that NinjaTrader does, and you can see an example in Figure 2.



Figure 2 - TradeStation

The TradeStation charting software can also be leased without a TradeStation brokerage account however that becomes relatively expensive. You can find out more at tradestation.com.

Perhaps you don't have a futures account yet and would simply like to learn more about commodity **futures price action**. In that case there are many free resources out there. You can start out by simply obtaining a demo account at one of the NinjaTrader brokerage partners. These accounts will be of limited duration but will allow you to **use the software and decide** whether commodities are for you.

The futures exchanges provide their own charting. Compared to the charting software available through your broker this charting is much more limited and also is usually based on delayed data, typically delayed by 10 to 30 minutes. Obviously because of the time delay these charts cannot be used to **make day trading decisions**, however they can be quite adequate for daily swing trading. Probably the most comprehensive source of commodities futures data and free charting is the CME website at cmegroup.com. Figure 3 lists some of the commodities data available through this.

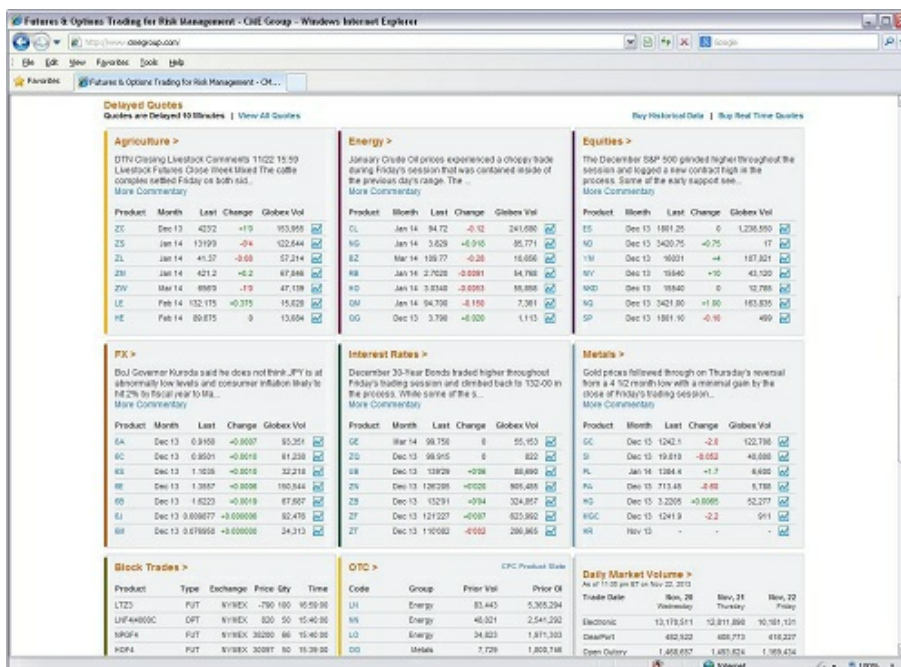


Figure 3 - CME Group Data

Charts are available for each of the futures listed in the CME site. As already stated, these charts use delayed data but otherwise can be quite useful for technical analysis. They come with a set of technical analysis studies that can be customized. Unfortunately these studies cannot be

combined and only one can be viewed at a time. Figure 4 shows a typical CME chart.



Figure 4 - CME Group Chart

The major internet portals (Yahoo, AOL, MSN, Google, etc.) each have their own finance or investment area and may provide commodity futures charts. Yahoo has one of the better offerings as far as charting is concerned. Use finance.yahoo.com/futures as a starting point. The charts here also use delayed data, however unlike the CME charts you can combine different technical indicators on the same chart. Figure 5 shows a sample chart from finance.yahoo.com.



Figure 5 - Yahoo Chart

Besides the portals there are other sites dedicated to providing free charts including commodity futures charts. One of the oldest and best is Barchart.com. Their charts are highly customizable and offer a large set of technical indicators for application. The data is delayed but they also offer real time data for a price. Figure 6 shows a sample Barchart.com chart.



How do Futures Contract Rollover Days Work

The rollover day for a Futures contract is one of the most misunderstood features in trading these contracts.

Quite simply, Rollover Day is when traders start to exit the expiring contract and begin trading the front month contract that expires some time in the future.

As part of your job as a trader, you must understand when the contracts expire and ensure you buy/sell out of the existing contract before the date of expiration.

Liquidity And Rollover

The expiring contract can still be traded, as it is still available up to the expiration day, but the liquidity will suffer and you are best advised, if you want to continue in this position, to change to the new contract.

Liquidity: The degree to which an asset or security can be bought or sold in the market without affecting the asset's price

This will avoid the problems associated with reduced trading volume which I will highlight later in this article

The word "contract" when referring to the Futures market is an actual contract complete with obligations for both the buyer and the seller.

The buyer agrees to take delivery, if trading in commodities such as cattle, and the seller agrees to deliver the product.

Trading in financials, the **Futures contracts** would be settled in cash.

The fact is that for the majority of traders, actual delivery never takes place

as they are speculating on prices and not actually buying the product itself.

Futures Contract Rollover Days Can Differ

The instrument you are trading has a specific day that rollover occurs. All instruments are not created equal though as some expire quarterly and others expire monthly.

Some of the most popular e-mini contracts are the ES, Dow, and the Russell and they are known as stock index instruments. These expire quarterly in the months of March, June, September, and December on the third Friday of the month at 9:30 EST.

Note: Each expiration month is represented by the following letters: March (H), June (M), September (U), December (Z)

Let's use the ES for an example highlighting the March 2015 expiration:
ESH15



The March 2015 contract expires on March 20, 2015. The rollover to the June Futures contract (ESM15) is 8 days before expiry which is March 12, 2015. This is when you want to monitor the volume in your market as many traders begin to exit that current contract.

Most traders that I speak with will either change contracts on rollover or will trade the front month the next day.

Another popular Futures instrument to trade is Crude Oil or CL

Instead of a quarterly rollover, Crude Oil Futures rolls on a month to month interval.

Keeping with March 2015, you'd be trading CLH15 but rolling over to the

April contract CLJ15 in the following manner:

1. Trading the current month CLH15 will stop on the third business day prior to the 25 day of the month.
2. If the twenty-fifth calendar day of the month is a non-business day, trading shall cease on the third business day prior to the last business day preceding the twenty-fifth calendar day.

(<http://is.gd/clcontract>)

Ensure that for any Futures market you trade that you are fully educated on the rollover particulars to avoid any issues with your trading positions.

EFFECTS OF ROLLOVER

You may have heard about difficulties with liquidity, and increased volatility associated with rollover days. These result from the changeover that happens. Most traders move from trading the current contract into the next contract, and that means that the volume of the expiring contract becomes less, usually resulting in larger spreads, and the trading volume for the next period increases.

Volume: Total amount of futures contracts bought and sold during trading day (other time frame)

Here we have a comparison of volume between the expiring month and the front month.



You can see the gradual decline of volume plus the incline of volume in the front month. If you are not paying attention to rollover, you may start seeing its effects in terms of liquidity.

The increasing spreads on the expiring contract can be harmful to you if you **day-trade**, and the new contract will usually have very tight spreads on the rollover day. This is also important if you are a longer-term trader who wants to carry the contract past the expiration date, as the small spreads mean that you will pay the least to do the transfer.

If you are considering opening a position within a few days of rollover day, then you may find it better to use the new contract at the start.

Don't Fear Contract Rollover

Futures Contract Rollover is not complex but it is something you should be extremely aware of. While most markets rollover at the same time, as we

Choosing the Best Time to Trade Futures

One big issue that I've found frequently comes up when talking to traders, is when they are tracking market behavior they fail to differentiate between primary sessions and overnight sessions for futures products. Now of course,

it can be useful to chart a 24-hour or full electronic exchange session. However, charting the right session times in futures for the primary session of the market you are trading can go a long way towards figuring out what it's trying to do.

Why non-primary hours are different

Non-primary or "electronic" trading hours have two major differences to the main session for an instrument. The first is that because a futures product is a contract traded on an underlying market (for example a stock index future on a basket of stocks), any trading going on in the future when the underlying market is not fully open is going to be a proxy to the real market. In other words, the trading that goes on in futures outside of primary hours, isn't always going to be an accurate reflection of what the underlying market wants to do.

The second point is that the volume traded is generally much lower in the electronic session than it is in the primary session. This tends to result in either far tighter trading ranges when interest is lower or accentuated moves due to the thinner book when there's something that needs to be priced in. Another really great example of this is in sessions where the market is open but there's a major holiday somewhere in the world. Many times there's very little movement, but sometimes the thinner market leads to significant directional movement.

Masking the important activity

As a result of these differences, what you see on a full session chart has the potential to mask important technical features of a market. Which moves have happened as a result of changes in the price to the underlying market for example, are likely to be far more indicative of future movement and yet it might not be immediately clear which these are on a full session chart.

The actual volume traded is also likely to have an impact on your charts. If you use volume profiles, although the additional less important data is far smaller in comparison to the primary RTH data, it will still have an impact on the overall distribution calculated by your platform.

But perhaps of greater impact is felt by traders who use either tick or volume-based charts for their timeframe which in turn is used to generate setups. Many trade plans used in Trend Jumper and Counterpunch use tick charts for example. The result of using overnight data is that setups have the potential to be artificially large due to the fact that markets can move directionally on far fewer trades/less volume outside of their primary sessions.



Additionally, it's easier to identify session derived extremes in price, which markets are likely to retest and respect in the future. Although it is possible to find indicators on some platforms that allow you to specify the times for the open/high/ low/close you wish to have automatically drawn based on, it's far more common to only have the option to show this for the current session. Fortunately however, most platforms do allow you to change the session displayed.

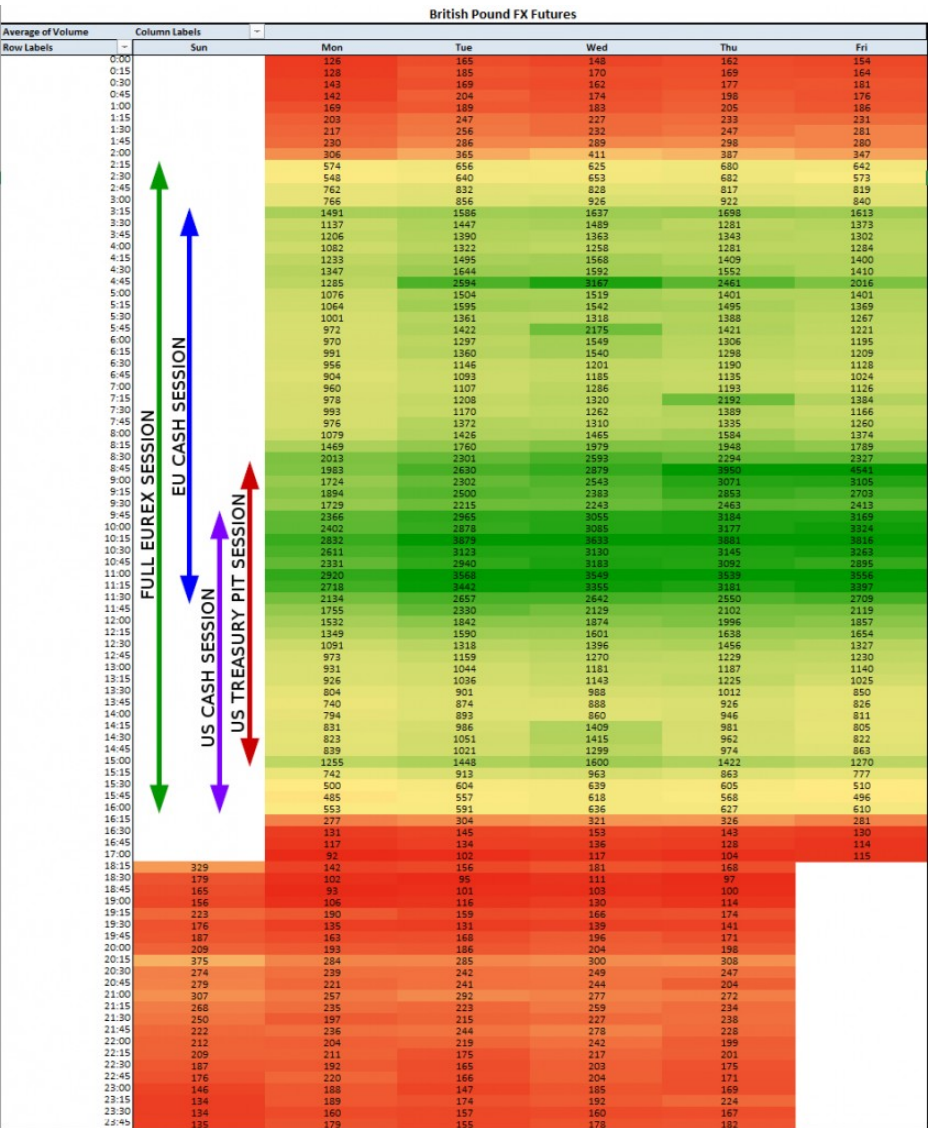
Selecting your session

Selecting the correct primary session is usually fairly straight forward. You can look at the product's exchange webpage where it often gives the pit or

open outcry session. You could also find the information for the primary session by doing a web search on the primary market hours for the underlying market. For example, the E-mini S&P 500 (ES) is a US stock index product. The primary market hours for the NYSE are 9:30 am-4:00 pm EST and so this is the primary session for the ES (although 9:30 am-4:15 pm EST are frequently used).

When looking at Forex futures it's not quite as straight forward. You could chart sessions based on the hours of the major Forex centers globally (from forexmarkethours.com):

But equally if you were to do a volume analysis on a product (I've used the British Pound futures here) you might see that there's a more relevant time window to use that spans across several of these.



Charting the Right Session Times in Futures

Many traders still don't differentiate between primary and non- primary market sessions in futures trading and it's my belief that they are missing a trick with this. If you don't already do so, why not at least take a look at primary session only futures charts as a way to compliment your technical analysis.

Trade well.

Below are other **excellent free trading and investing guides.**
Choose as many as you like with our compliments today only:



OPTIONS TRADING

Free Book:
Options Trading



Charting the Right Session Times in Futures



One big issue that I've found frequently comes up when talking to traders, is when they are tracking market behavior they fail to differentiate between primary sessions and overnight sessions for futures products. Now of course, it can be useful to chart a 24-hour or full electronic exchange session. However, charting the right session times in futures for the primary session of the market you are trading can go a long way towards **figuring out what it's trying to do**.

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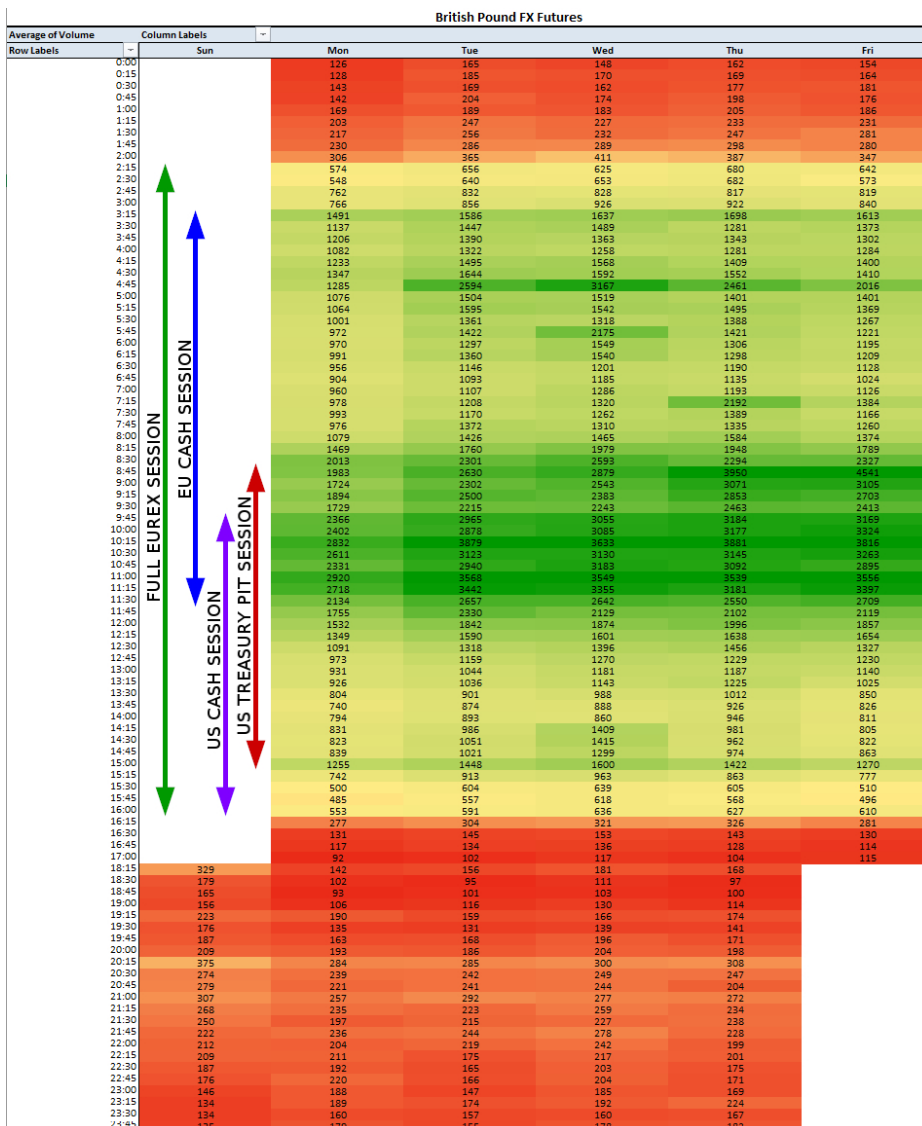
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Trade well.

More posts by Coach James can be found [here](#)

Futures trading software for your trading business

Trading is a business and like many businesses, you need tools to help you in your business. If you are a Futures trader, you have no doubt looked into **Futures trading** software and wondered exactly what it is you require.

The trading software you will need will depend on what type of trader you are. Swing traders may need different trading software than a scalper.

Assuming you have the basics such as the **best trading platform** and order entry programs covered, I want to touch on a few pieces of software and services you may find useful for not only Futures trading but any market or instrument.

*These are **not endorsements** but are gleaned from the many traders I speak with on a weekly basis.*

Data Feed For Futures Trading

If your trading strategies call for intra-day trading volatile markets such as crude oil futures, you will want to ensure you are trading with an extremely reliable data feed.

The New Mini DAX Futures



Yep, that's right. Eurex have **just announced** the introduction of a new product to their already successful futures lineup – the *new* **Mini DAX Futures**.

On the rare occasions when an exchange releases a new contract of genuine importance, there is always likely to be a degree of anticipation and perhaps even some excitement. However, when a great product like the DAX gets a new set of specs, things get really interesting.

Contract Specifications

So let's not dally about. Let's get straight to what the new contract specs are.

The new Mini DAX Futures (FDXM) will be traded in **1 point tick increments and be €5/point** versus the full DAX Futures (FDAX) which is traded in **1/2 point tick increments and is €25/point or €12.50/tick**. They will be listed in the same quarterly cycle, roll at the same time and also be cash settled.

At this point, I do not know what the round trip cost of the new contract will be, but given the way the DAX moves, it's unlikely to be too much of a sticking point even if it's the same as the big DAX contract. I'd love it if the cost of an RT was 50% or lower, but realistically I'm not sure that this is likely to be the case. We shall see. I will update this post when I know more.

Who Cares?

Well you might think that taking a big contract and making it much smaller is a bit of a waste of time. But the truth of it is just the *opposite*.

A single full DAX Futures contract has a notional value of **€25 x 10,000 (point value times by the current price, give or take) = €250,000** and as recently as April this year, it was getting towards **€312,500!!** So if you need to hedge a long-term cash market position for example, it's tough to do so on such a large product. So ETF's might be the way you'd go instead.

Then of course there are the smaller guys like day traders. The DAX is a great market but just moves so much and is already expensive per tick. It's not rare for it to move 300 points in a day – **that's €7,500 per contract in range!!** Some days it will move 500 points.

For a day trader with a smaller account who wanted to trade the DAX, one of the few options available was to trade a DAX future CFD (note: DAX index CFD which many brokers offer, is not the same thing). But this hasn't been available to traders in all countries and has inherent risks such as it not being a centralized exchange regulated market.

Hedgers or day traders are just a couple of examples of participants who are likely to be interested in the new Mini DAX Futures. If it works, **it is going to be more liquid, slightly slower and it will be easier to accurately manage risk on positions.**

Will it Even Work?

But will it even work? There are plenty of products that are launched and fail. Indeed there was a mini-sized US dollar-denominated DAX introduced by the now defunct USFE exchange back in '08. This product unfortunately went the way of the dodo for various reasons which I won't get into right now.



Then of course there was the E-mini S&P 500 Futures. It was introduced by the **CME** in the late 90's and was initially 1/10th the value of the big S&P contract (which itself was later halved).

It was also listed with a quarter point tick increment instead of the one tenth of a point tick increment which the full contract had.

People laughed at it.

I really don't believe there's any more I need to say about the E-mini S&P 500 Futures!

Eurex is a solid exchange and has been about since the beginning of screen-based futures trading. They have done their homework on the Mini DAX Futures. In fact, there's been talk of a mini DAX for a good few years now. And there's a genuine need for it too, as we see higher prices and greater market volatility.

The Mini DAX Futures are very likely to succeed and be a big hit

What to Expect

Eurex have announced that **the Mini DAX Futures will be available from 28 October 2015** in addition to the existing FDAX.

The trouble is whether or not people will initially trade them. Whilst it remains to be seen just how liquid they will initially be, even if the daily volume levels are relatively low there should be reasonable liquidity due to the designated market maker schemes they will be running until at least the end of March 2016. Market makers will have the obligation to quote.

If you're going to trade it, **I would strongly suggest just watching it and not trading it for at least a couple of weeks to begin with.**

The fact is that it's a new contract and although the liquidity might look to be reasonable, it might not always behave as you expect. Plus you can't be certain that there won't be any teething problems given the fact that it's a brand new product.

I'd also suggest you chart the full product too. If you're a Netpicks owner (such as **Trend Jumper** or **Counter Punch**), your trade plan will be tested on the full product and more than likely be using tick or volume (share) bars. Given the vast difference in contract specs, setups won't be what they should. So chart the FDAX and (if you choose to) trade the FDXM.

Let's see where the new Mini DAX Futures take us and just maybe they'll bring some great opportunities to those who trade them!

Trade well.

[More posts by Coach James can be found here](#)

Trade Management Lessons from the FTSE Futures

No one trade is ever quite the same. But there are similarities between them and by learning trade management lessons from each trade we take, we can improve the way we manage future trades.

Let's take a look at an example of a FTSE futures trade using Trend Jumper, which occurred in the EU Trade Room session...

If you'd like to see it first, here is the video: -

<https://youtu.be/JsPFCzuDIUc>

Market Open & Potential Energy

The opening position is always important. It tells us how much "potential energy" the market has.

The basic key elements to note are: -

- **Where the market is opening relative to yesterday's range**
- **Where the market is opening relative to yesterday's cash and full session close**

The reason for this is to identify the level of change between yesterday's perception of value and today's initial idea of value.

For example, opening near the close and the middle of the range, might

show no change in perception of value and therefore no urgency from the market. On the other hand, a move away from these could suggest either a change and perhaps a directional continuation or a rejection of the movement and the onset of responsive activity to bring the market back to where it was yesterday.



In the example, the FTSE opened up inside but towards the top of the prior day's range. It also opened very close to the prior day's European cash session closing price.

Now the opening position wasn't predicting huge amounts of early potential. But if you take into account that the prior day was a breakout day of a 3-day balance area, it's should be clear that there's still some exploration of value to be done – especially early on in the session.

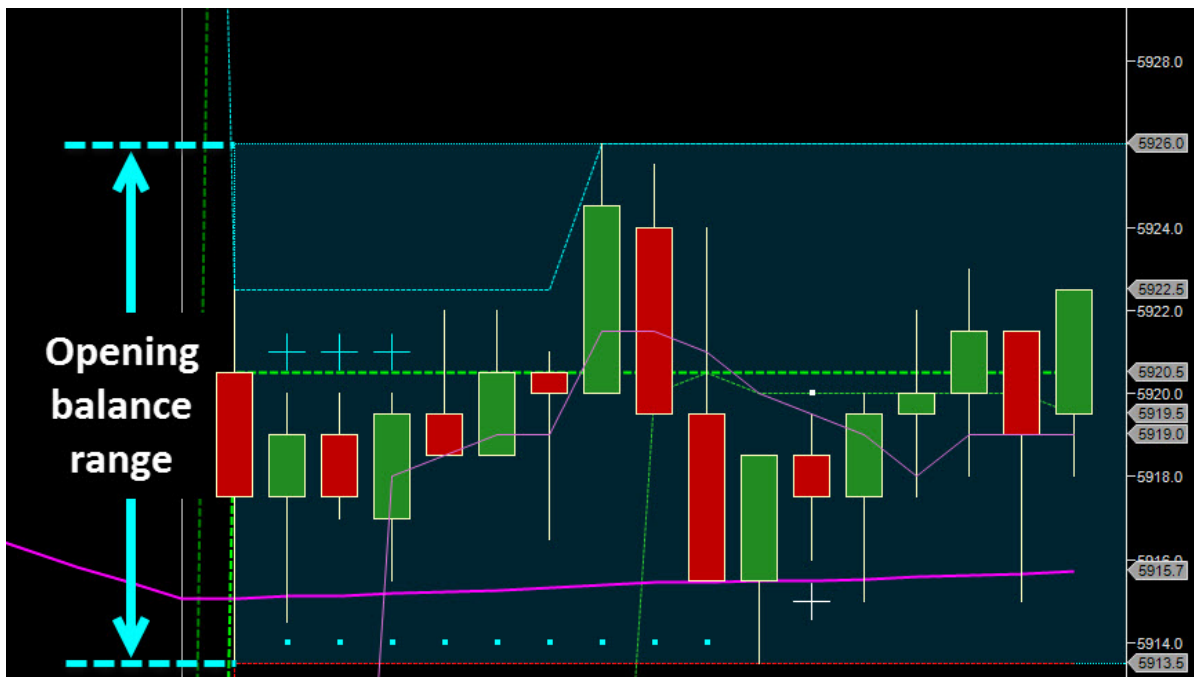


So it's important to take into account some slightly broader auction context than just the opening position relative to yesterday's range and close.

Doing so should have suggested to a trader that there was decent potential for an early directional move.

Early Tests

The FTSE futures then went on to test up and test down (to the prior day's cash close) to form an opening balance range which held for several minutes.



Market participants weren't going "all in" right off the bar, but bearing in mind the potential energy, a breakout from this balance could see a directional move take hold.

As the FTSE started to move above the balance high, Trend Jumper gave us a Jump Line Crossover long setup – *right on cue!*



The logic that I apply to whether the trade fits or not with market structure, is based on whether I can at least get to the money management target (T1) without the need to break the nearest level of any significance. In this case, you can see that you could get that as well as your fixed scale-out

(T2).

The trade was taken for 2 contracts and the market moved up to T1 fairly easily.



Now, I hear you ask why did I sacrifice 2 ticks on the fixed target here when it rolled on straight to T2?!

2 points.

First point - Your scale is risk management gold

Once you take half your position off (in this case), the breakeven for the entire trade moves dramatically away from the current price. Even the 6.5pts taken at 5934.5 here changes the breakeven price from 5928.0 (the original entry price) to 5921.5 – i.e. 13pts from the current price!

Second point – A historical chart rarely fully reflects the actual flow of the market observed at the time

Get the free version of the Trend Jumper system I use in this example: -

Free Trend Jumper
Trading System - [Click Here](#)

The conditions for taking a trade off when it's short of its target, are that: -

- It gets close to the target (to within 1 – a handful of ticks depending on the product you are trading)
- The target is at or close to a key level (this should be used at a trader's discretion)
- The market is showing signs of support or resistance as it moves to the target price.

You don't see it in the chart, but close to T2 and a key zone, it did show something of a pause – and when a market reverses here, as it's a key zone and the competition to get in or out of a position will be greater, there's often not much time to react.

So you either take what you can with the possibility of the market continuing anyway or you hold tight for an extra couple of ticks.

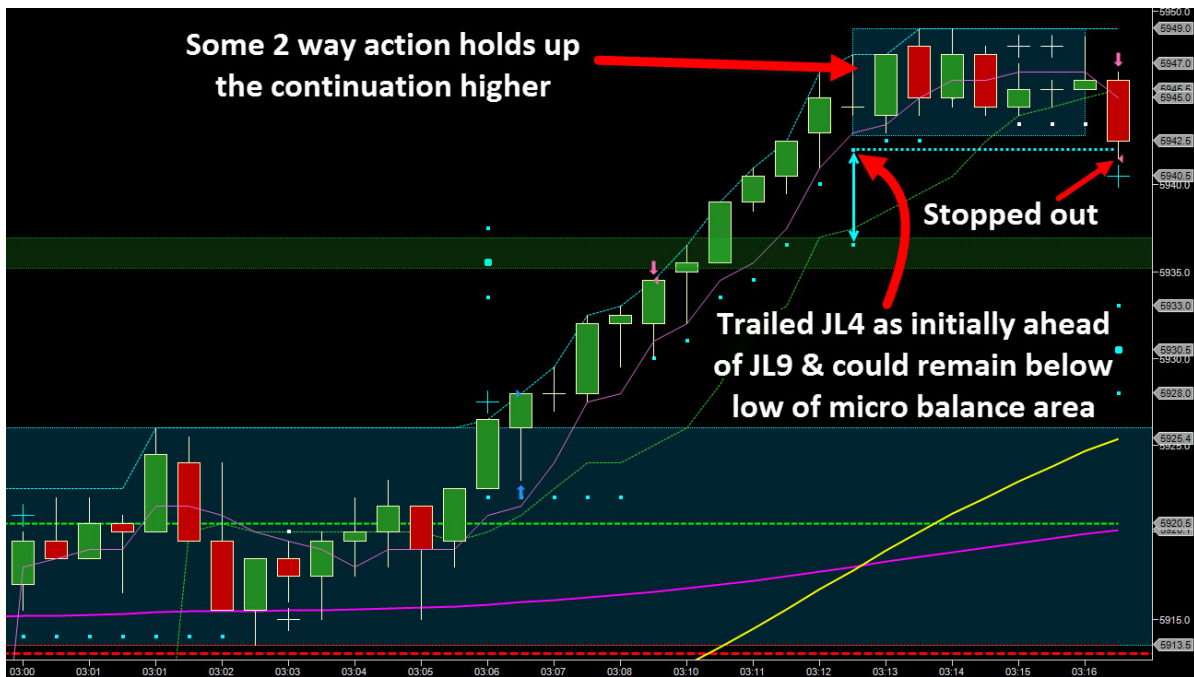
Because of the risk management implications, I always work on the basis of the first option – taking it off with the risk of missing out on a couple of extra ticks, but guaranteeing my breakeven price moving very favorably in the process.

How to Trail

In some cases I trail the Jump Line 9 (JL9) and in other I trail the Jump Line 4 (JL4). This is based largely on how much of a move has already occurred, whether a key price level has already been tested, how much potential for a continuation move I think there is and how big the gap between the JL9 and the JL4 is.

I also often switch between the two mid-trade. This is because as the market moves further, I want to give it more room.

Whatever scheme I'm using, I always want to work within the current market structure. So in the FTSE trade example, when T1 is hit, I wouldn't normally lock in at entry +1 tick. I'd move it to a couple of ticks below the breakout point (location #1 on the chart). As it happened, I was able to trail the JL4 soon after.



The FTSE did then continue past the first key price target and before it reached the second, some 2-way trading halted the advance.

The question was whether to trail the JL4, JL9 or market structure.

Given that the market had moved a decent amount, the JL9 was now becoming more appealing, but it had to fit with market structure. As you can see, the trade stopped out anyway and the extra room given to it cost 3.5pts. But the potential for a further move up was high.

Unfortunately, and this is just part of the game (so long as it doesn't happen on every trade!), the stop-out was the low of that swing and the market did continue on to test close to the upper key price level (5961.5).

Takeaway Points

Learn How to Trade Grain Futures

PREVIOUS ARTICLE:

[Online Futures Trading](#)

NEXT ARTICLE:

[Crude Oil Trade Basics](#)



Grain futures have some very unique properties that make them very good to day trade. However, **many people don't understand the market** or are so locked into the typical markets that they are familiar with. For example, everyone seems to want to trade The ES or S & P Emini or the NQ (Nasdaq) or YM (Dow). This is because they hear and see about how it does each day. The nightly news tells you if the DOW went down 100 points or that the S&P gained 1 %. You don't hear how much Corn, or Soybeans or Wheat went up, unless it is dealing with a related story about food costs going up because the Grain prices are going up.

How are grain **futures trades**? They are traded almost exactly like all of those other futures I mentioned and that you are familiar with. They are traded on the same Exchange the CME out of Chicago. They are traded in 5,000 bushels and move in $\frac{1}{4}$ tick increments at \$12.5 a tick. This **price**

action is exactly the same as the ES. One contract per point (4 ticks) is worth \$50. So, you see it can be traded just like a market that you are familiar with. However, there are some major differences in how it trades that make it very nice for the retail trader. These are some of the key differences.

1. The Market does not respond to the typical US market news like a Jobs report or the Fed statement. This means that it is not correlated with the US market and so you can trade it and not worry about someone giving a speech or many of the news events that move the US market up or down.
2. Diversified markets. You can trade Corn, Soybeans or Wheat. You can pick the best one that is giving you the best trading signals. They trade differently and respond more to weather news or crop reports. So, you want to get educated on the market you are looking to trade and know **which contract month to trade**.
3. Trading hours. They use to start trading at 0830 CST and end about 2:00 CST. However, now with electronic trading. They trade from 5 PM CST to 2 PM. They still have the big surge of traders at the old "Pit Open" at 0830 CST, but now the market is only closed for about 3 hours in the afternoon and they are open all night and all morning.

Agricultural Product Slate

Market Data and Charts are delayed at least 10 minutes.

Featured

Grains and Oilseeds

Livestock

Dairy

Forest

Commodity Indexes

Softs

View All Agricultural Products

Product Name	Code	Contract		Charts	Last	Change	Open	High	Low	Globex Volume
Corn	ZCH4	Mar 2014			432'2	-1'2	433'2	436'6	430'0	54811
Soybeans	ZSF4	Jan 2014			1319'4	-8'4	1328'0	1328'0	1316'4	44440

I talked about getting to know your market. Everything you need to know about the market and volume and current contracts are on the CME site. www.cmegroup.com Look at the chart above from the CME site and you can see that Corn is trading the March 2014 contract and the volume is about 55,000. This way you know the exact symbol to use for each market and then the current month with the most volume.

You will also want to pay attention to some of the Agriculture news, unlike the standard US market or world news. Often the market will start a nice trend, based upon expect crop reports or if there are some major storms that might affect the harvest of various crops. That is one of the very nice things about Grains. They trend very well and move in large waves. This is a good site for news on Crop reports and Harvest reports. www.agweb.com



So, take a look at a market that gives you great diversification, non correlated with US markets, and one that trends better than many of the standard US Markets. It is easy to trade and with **a little bit of education on the market**. I think you will find that you can make a great living just trading the Grains.

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Crude Oil Futures Trading Basics



Crude oil futures are one of my favorite day trade markets to trade.

For years now, it has offered enormous profit opportunity due to its highly active price action and range.

As dynamic as this market is, there are aspects that are important to be aware of if you want to succeed at **crude oil futures trading**.

Crude oil futures, and more specifically, 'light sweet crude oil futures' are traded on the NYMEX Exchange (New York Mercantile exchange). The trade pit opens at 9 am est and trades until 2:30 pm, but there is also a very active electronic market which trades on globex from 6 pm est, Sunday through Friday.

Like all major **commodities futures contracts**, crude oil futures contracts are standardized.

The front month contract is what we want to focus on because that is where the majority of the volume is.

- Each contract consists of 1,000 barrels.
- The prices move in 1 tick increments.
- Each tick is equal to .01, or one cent, US.

- Therefore the value of each tick is \$10, making very small moves in price a very lucrative and/or risky proposition.

For example, if one were to trade a single contract of crude oil futures that moves just .10 in price, \$100 would be made or lost, plus trade costs (commission, exchange fees and slippage).

Crude Oil Contract Rollover

Each month, around the 18th, or the closest Friday to the 18th, we typically 'roll' to the next front month contract.

During the Thursday and Friday around these monthly dates, you will notice the trade volume begins to migrate from the old month to the new.

We always want to focus our trading on the contract with the most trade volume.

There are also mini contracts of crude oil futures traded on the CME.

At first appearance, you might be drawn to these because they require much smaller capital levels to safely trade.

The only problem is that most traders have not really taken to these smaller contracts and the trade volume is just not sufficient for us to attempt trading these products.

Focus on the full size NYMEX contract for better trading.

I have personally called live trades in a virtual trade room for many years and crude oil futures has been one of the best, most consistently active markets that I have focused on throughout my trade room experience. Because of this price action, we can look forward to lots of great trade opportunities.

How To Trade Crude Oil Futures

All the best strategies that I have found the most success with, are rule based methods that tend to focus on momentum style trade setups, or reversal trades.

They are very controlled, with specific targets, entries and stops.

For me, the best strategies utilize multiple positions and for that, you do have to be adequately capitalized. If not, then begin with a single position and trade it to a specific target.

With two positions, which is my preferred method, I like to exit at a specific target with one position, and then trail the 2nd position per my trade plan rules and techniques.

I also like to move my stop to lock in a little profit or to eliminate the risk on the trade as quickly as possible, also per the rules and techniques of my trade plan.

Your tradeplan should also be quite specific as to when to start each session and when to quit. This is the kind of market that you probably do not want to over trade.

My Personal Trading Plan Is As Follows

I begin at 8:50 am each session.

My quitting goals are dynamic and typically require one or two winning trades and a positive result.

If the session begins with losses, then we have to keep trading until we get positive or, until we reach a designated stopping time.

Many traders have a hard time knowing when to stop trading and that usually leads to problems. Each trader is different, and typically requires personalized rules to accommodate them so figuring out the proper quitting time requires some initial research.

Some traders only trade for 30 minutes and 3 trades maximum for example, while others will just power through the entire session or until they hit their winning goals.

Still others, and this is something I would suggest one focuses on, will

research by back testing, all the trades that their strategy produces throughout several months of trading, and then isolate the most productive and least productive windows of time.

An interesting trade plan can then be applied that treats each session as 2 to 4 mini sessions, each with its own start and stop time, only focusing on what has been historically shown to be the most productive time slots to trade crude with their specific trade method.

I personally like using the **PTU Trend Jumper strategy** which has a very specific approach to this market. It's the perfect strategy to set up mini sessions because it produces excellent setups.

When you combine these setups with smart trade plan rules, you can consistently produce **profitable results**.

Vital Key To Any Trade Strategy

There are other effective strategies too, but regardless of the strategy, I have found the most consistent success by trading it the same way each and every session, with a purely mechanical approach.

In other words, there is very little room for discretionary trading.

I'm not saying one couldn't be successful trading crude oil futures by 'touch and feel.' I just haven't known anyone that has succeeded at it.

This market offers up the same type of **price action and price patterns** over and over again so, armed with that information, I prefer to use a rule based mechanical strategy that takes advantage of that and in so doing, puts the odds in my favor on each and every setup.

Winning at **futures trading** is all about odds.

There is no such thing as perfection.

The good news is, we don't need perfection to succeed.

We just need to put the house odds on our side. The strategies we use give

us 'better than house odds,' in fact.

I don't need to win every trade to make a lot of money trading crude oil futures.

Winning every trade isn't possible anyway.

So I focus on quitting positive on most sessions and staying consistent with my approach. As long as your strategy offers up a positive average profit per trade, net of all winners and losers, you can be successful trading crude oil.

Of course, you also need to couple that up with very smart and conservative risk exposure and money management. In other words, you have to be adequately capitalized to trade crude oil futures.

You never want to risk more than 2% over your trade capital on any given trade and you should apply the philosophical concept that less is more.

Focus on quality of the trading opportunity and not quantity.

Give you plan a chance to produce for you. By letting the odds do all the heavy lifting for you, your account will ultimately 'ramp up,' and as it does, you can increase your position size while still sticking to the quality vs quantity concept.

Those that over trade, that is, trade for quantity, tend to have lower net profit results per trade or worse, can't find a way to quit positive on most sessions. They give their profits back to the market as they keep pushing the buttons and entering order after order.

Just like the gambler who overstays his welcome at the blackjack tables.

You don't want to be a gambler. You want to be a smart business man/woman who has pre-calculated the risks and knows when to walk away each session.

What Variables Go Into Successful Crude Oil Trading

There are the elements that are required to succeed at crude oil futures trading

- Method
- Tradeplan and rules
- Quality vs. quantity
- Smart risk and money management
- Discipline to execute the plan, each and every session
- Research and knowledge of what to expect from the tradeplan – this is critical to success!
- Adequate capitalization

Don't forget about the news releases.

Another important aspect to crude oil trading is the weekly Inventory Report that comes out every Wednesday or Thursdays on holiday shortened trade weeks. On Wednesday, it is released at 10:30 am.

If it is a holiday week, then expect its release on Thursday at 11:00.

Make sure to not try to execute new trades around this report.

We typically stop taking trades 5 minutes before the release. More conservative traders will even go flat and close out positions that happen to still be open prior to the report.

The problem with trying to execute trades through this report is that it will produce wild volatility and liquidity momentarily dries up at many price points. In other words, the price will hit your targets but you won't get filled until some other unpredictable price level is reached.

In short, you lose control of your trade! That is never good!

While trading through the report is not the wisest thing to do, I like treating the after report trading as an entirely different trade session; almost like a 6th session each week, with its own start times and quitting goals. I like to begin looking for trades a fast 2 minutes after the release. I will typically trade for one good winner and then I'll quit for the session. Some traders like to wait 5 minutes.

Crude Oil Trading Can Be Lucrative

Crude oil futures is one of the most dynamic and lucrative day trading markets there is. It is critical though that you do a lot of preliminary research before risking real money.

It is wise to back test your intended approach in a pre-programmed spreadsheet so that you can see what your chosen trade plan has produced in the past. Then continue testing it forward in real time, while practicing it in a simulation account.

You want to establish a positive expectancy (average net profit per trade) as well as a plan that wins on most sessions and has a strong weekly win rate as well. I use a spreadsheet called the [UTA \(Ultimate Trade Analyzer\)](#) to track all my live trades and to back test each and every market, method and trade plan prior to risking real money.

Any trader can learn how to trade crude oil futures. Just make sure you respect the risk and realize that you have to treat this as a very serious and professional endeavor.

Treat it like a business and approach it with the same due diligence that you would apply to any business opportunity. With opportunity comes risk so you have to manage the risk exposure with intention and eyes wide open.

[Free Trend Jumper
Trading System - Click Here](#)

Day Trading Crude Oil Futures Explained

PREVIOUS ARTICLE:

[Crude Oil Trade Basics](#)

NEXT ARTICLE:

[Automated Futures Trading Systems](#)



View Our Futures Trading Video

*Live Crude Oil **Futures Trades** With Trend Jumper*

Crude light (CL) is a fantastic product to day trade. It has great liquidity and you soon know whether you're right or wrong in a trade as it moves quite a bit. Because of this it's one of those highly profitable products that discipline is a must to trade it. It's a fast moving market and at \$10 a tick, you can see relatively large p/l swings just trading a single contract.

SOME BASIC STATS

Whilst trading CL on the CME Globex is actually open for nearly 24 hours a day during the week (6:00pm – 5:15pm EST) the primary pit session is just 5½ hours long (9:00am to 2:30pm EST). Focusing on the latter, you

generally get somewhere in the region of 100-250 ticks in range and 100-250k contracts traded and frequently it can be considerably more active. This is for the closest contract to expiration before **contract roll** (trading volume tips over into next contract month). Crude trades monthly contracts and in fact many traders look to profit from spreading different contract months against each other, looking to profit from changing expectations of the value of the commodity over time. It's important to know when to roll into the new front month as crude oil is a future that is settled by delivery – if you're long and you let the future expire on you, an oil tanker will show up!

Volatility in fact varies not only from week to week and month to month, but is also dependent on the day of the week. Volume tends to pick up throughout the week and volatility is usually elevated around the weekly crude oil inventory report on Wednesdays. In fact, this report has the potential to whip the market back and forth so dramatically that many oil traders step back for a few minutes to let the dust settle before taking further trades.

Would you like to Receive the Seven Secrets to Crude Oil Trading Success?
[Grab It Here for Immediate Download - Crude Oil Futures Success](#)

PRICE DRIVERS

But it's not just inventories that move oil prices. Crude oil can see good trends in part due to speculation. Indeed when oil spiked to record highs in 2008, speculators were blamed for pushing prices higher. Whilst it is

certainly a speculator driven market to an extent, there are other factors to take into account.

Same goes for the plummet in 2014 and 2015.

From a demand aspect, the impact of the level of growth in countries such as China, India and Brazil must be considered. The better the global economy, the greater the demand from these countries will be. This is also why oil tends to move in tandem with the stock market. But there comes a point where higher prices become seen as a hindrance to growth. It's also important to assess the way the value of the dollar impacts oil prices.

Crude oil is priced in dollars and it has an intrinsic value. So any strength or weakness in the dollar has the potential to inversely affect oil prices - i.e. if you want to buy something but your money is worth less, the cost in terms of your money goes up. And this goes for inflation too.

Over time as currency devalues, anything with intrinsic value should rise in price in terms of the currency. So the varying degree of inflation (or deflation) will impact oil prices too. Then of course comes the issue of global tensions and particularly those in the Middle East.



The simple fact is that the world is dependent on oil and a vast amount of it

comes from this highly volatile region. Any conflict that hints at the possible disruption to crude oil supply can quickly send prices higher.

Why do you need to know this [information to day trade crude](#) then?

Because economic reports also affect oil prices and when an important figure is released out of line (differing from analyst pre-release estimates), markets must reprice to account for this. Middle East tensions might be ongoing, but there are specific points in time when important developments take place and the market moves quickly.

Crude oil is a great market to trade as a day trader. Because the market has a good number of influences driving price and because when a lot of business needs to be done the level of liquidity can move the market quickly, crude oil is a market where there's [lots of action for a day trader to profit from](#).

If you'd like to learn more about day trading crude oil futures and [pick up a few tips](#), why not take a look at [Seven Secrets to Crude Oil Futures Trading Success](#) by Mark Soberman, the founder of NetPicks.com.

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[Crude Oil Trade Basics](#)

NEXT ARTICLE:

[Automated Futures Trading Systems](#)

Day Trading eMini & S&P 500 Futures

PREVIOUS ARTICLE:

[Currency Day Trading](#)

You might have heard of a popular market called the E-mini S&P 500, aka the ES. But this market remains a mystery to many people – and not just beginners.

WHAT IS THE ES ANYWAY?

The ES is a futures contract on the **S&P 500** cash market. The S&P 500 is an index of 500 large cap stocks in the US. It is made up of individual stocks from all the main industry sectors – from energy, financial, health care to industrial stocks and many more, the S&P 500 covers the lot! The **ES** is a futures market that has four quarterly expiry contracts per year, trades in quarter points and each quarter point, or tick is worth \$12.50.

YOU'LL PROBABLY THINK YOU LOVE IT THEN WANT TO HATE IT

Many beginners are drawn to the ES because of its great liquidity, low intraday margins and daily ranges that are about right – not too crazy to **start out trading**, but also it still has a pulse. But then they start to trade it and begin to hate it. “It never just goes!!!” or “It always stops me out to the tick before heading to my target!!!” you’ll hear them cry. And these views aren’t without merit at all. Because the S&P 500 is an aggregated product – i.e. it’s made up of lots of other products (the stocks) – its movements are muddled and an average of all the stocks that make it up. This feeds straight into the ES. The ES is a mean-reverting product. It likes to trade back on itself. It likes to check and recheck levels. And it can be hellishly stubborn at times when it does trend. So the kinds of psychological torments that traders and especially new traders go through are often amplified by the ES. If you’re stubborn in nature, you’ll likely get torn to shreds.

THE MARKET THAT LOVES CONTEXT

The product is just like any other you might choose to trade – find your niche and you'll make a lot of money. One thing that this market loves is context. It loves to see levels or a trendlines tested and fail for example. It loves to see yesterday's high broken briefly then fall back below. It loves to know that more buyers didn't enter when that high broke, so that sellers can confidently step it up. No new buyers above high = trapped longs = opportunity to profit from trapped longs liquidating. True it's an art as much as a science to knowing when to pull the trigger in scenarios like this and when to lay off as things aren't quite right. You've also got to have a good handle on what the ES is viewing as technical levels as you'll be able to better control your risk by knowing *where* to enter as much as knowing *when* you have your cue. Once you know which direction you have your cue in, you could trade it with a something like the **PTU Trend Jumper** for example.

IT WOULD TRY THE PATIENCE OF A SAINT

According to my googling, there is apparently no genuinely designated patron saint of patience. Shame. But if there was, the ES would surely try the patience of said saint and certainly of all the rest. The fact is that because most of the time, given its aggregated mean-reverting nature, the ES undulates back and forth looking for buyers and sellers. When you're wrong it makes you think you're right and when you're right you know to your core that you're wrong. And then you see what actually happens after you exit the trade. It's a tricky little fellow the ES and so having a well thought out trading plan that you religiously stick to through thick and thin will likely serve you better than any gut instinct you have whilst you're in a trade. You must yield to the trading (and **trade plan**) gods and have the patience to see the trade through whatever the outcome may be.

The ES is just another market. So don't love it or hate it – use it if it fits the type of strategy you like to trade. At the end of the day, while those reasons why **beginners first start trading** it still hold true, the ES is a fantastic product to trade and it is very possible to make considerable amounts of money with it.

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Currency Day Trading

Learn To Trade Futures

PREVIOUS ARTICLE:

[How to Trade Futures?](#)

NEXT ARTICLE:

[Futures Trading Strategies](#)

Trading futures online has become more and more popular in recent years and although the standards available to the internet retail trader have dramatically increased in this time, there are still potential pitfalls. Additionally there are many considerations that a trader must make that many have had to learn by experience alone. Here are some of them to give you a head start.

Brokers

If you want to [trade futures](#) you'll need an Introducing Broker (IB) or a Futures Commission Merchant (FCM) (and a clearer), in order to trade. A broker is really just the middleman but in some cases the services that they offer do justify the slightly higher commission rates that they tend to charge. When you setup your account with an IB, you'll also have to fill out forms for a clearer too.

Trading and Charting Platforms

There are many different charting and trading platforms out there that offer a plethora of features to the modern trader. More and more it's commonplace to see a combination of the two. Some are built for functionality, some are built for speed, some are built for reliability and some are built for cost. Some cost a lot of money, some are more reasonable and some are offered 'free' (though generally there's a levy on commissions for no cost platforms). It's also important to note that many vendors (software and data) who charge for their products do give a discount for services paid for in advance (normally up to a max of 1 year). But it's really important that you think very carefully about what exactly it is

that you require for your style of trading.

Data

Not all data is made equal. The issue that data providers have is that the greater the amount of data and the higher the accuracy of this data, the higher the overhead on their servers and the greater the bandwidth required to deliver this data is. So you tend to get two different types of data. The first is typically a “broker feed” which is the data your broker provides in order for you to trade. This can often be filtered (meaning you won’t actually see every trade) as the most important factor is that it keeps up with live prices. It typically won’t provide you with much historical data and often won’t be especially accurate (although in some cases these feeds are dramatically improving). The second type is a pure data vendor. These types of data feed tend to give you much more historical data and be more accurate (although this is variable in extent). Your charting platform must support your chosen feed whichever way you go and you must have a feed with order routing if you intend to trade through it.

Trading PC & Internet Connection

People often think it’s a good idea to fire up their family pc and internet connection to trade with. But this isn’t necessarily a great idea I’m afraid. The chances are you’ll have many programs installed and a cluttered up operating system. Your internet connection might not be the best either. And the truth is that latency is an internet-based retail trader’s nemesis. If the market is moving faster than your trading platform can keep up, you could end up making trading decisions that are costly ones. Traders can also **run strategy orders with some software**, where their platform generates orders based on market data and for many platforms these orders are generated client side – meaning trades are placed based on the data coming into your PC. If this data is lagging behind the market to a great extent then you could have a problem.

What can go wrong will go wrong

It’s not just latency that’s a concern though. You need to have a plan for what you’ll do if your PC fails you. Then what would you do if your internet connection goes down in the middle of a trade? How will you handle a power outage during the trading session? Then there’s also the possibility that your data provider has outages. Market volatility can massively spike

causing latency issues for your platform. There are so many things that can **go wrong with trading** online and as you trade more you'll inevitably come across these issues from time to time.

Self-Starting and Taking Responsibility

Trading futures involves a high degree of risk and this is perhaps even more relevant when **trading futures online**. Trading online means you need to have strong motivation and be a self-starter as there are many things you need to do in order to give yourself the best chance of success in this business. Taking responsibility for your trading decisions is a really important factor that when you're trading in this isolated way, can seem like a difficult task. But it's also important to take responsibility for situations like for example where your internet goes down in the middle of a trade. If you haven't planned for this possibility and don't have a backup connection or the number for the trading desk at your broker, then any loss because you couldn't access your platform is down to you and you alone.

Online futures trading is a booming business. Many firms offer access to exchanges and futures products throughout the world. The level of sophistication of the products on offer is **rapidly improving** and the standard of internet connectivity available to a retail customer far exceeds what it once was. If you're a day trader, **futures are a fantastic way to trade** and it's an industry which is ever-evolving. If you're interested in futures trading, take a look at some of the ways you can trade them with Netpicks.

PREVIOUS ARTICLE:

[How to Trade Futures?](#)

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Futures Trading Systems

Many traders I come across seem to start off by trying to day trade stocks or Forex and for many years this concept was pretty alien to me.

If you want to be an active day trader, futures are really the way to go. But to some, the world of **futures trading** is a dangerous business – a world where fast money and blown up accounts often go hand-in-hand.

The simple fact is that this is not an unusual reality in the industry. But there's another reality for those who understand the risks involved and maintain appropriate safeguards: trading futures markets is one of the most efficient ways to use your capital.



LEVERAGE In The Futures Market

Leverage certainly has the potential to be a case of Dr. Jekyll and Mr. Hyde. I don't think it's too hard to find horror stories of traders being over-leveraged and blowing up their accounts. It's not uncommon for a trader who has taken a few "bad beats" to go "on tilt", trade erratically and double up (or perhaps worse) on their losing positions.

But even without this very real aspect of trading, many traders just don't realise what the odds of them having a sustained period of draw down are and so they are less likely to fully appreciate the need to address **how much capital they should risk** over how much capital they can risk.

Let's look at some figures to put into perspective just how much leverage you can get as a trader of futures.

The E-mini S&P 500 (ES) trading at a level of 1600 gives a trader control of \$80,000 of product (index level x \$50 per point for this product). Current CME exchange margin is \$3,850 per contract which equates to a leverage of roughly 20:1.

Whilst that's pretty high it's not exceptionally so. Enter the brokers.

For day trading, brokers offer a much lower intraday margin rate. In theory a low intraday margin is useful for a well-capitalized account if you don't want to leave all of your capital sitting in your account.

However, in practice many traders will use these low margins to trade with much less capital than is realistically required. Typically a broker will offer you \$500 intraday margin and I've seen as low as \$400 per contract for the ES.

At the same 1600 level that's a leverage of 200:1.

That's 8 points to zero or a 0.5% move in a product that typically has a primary session range of 10-20 points. And it's important to note that margined accounts can fall below zero, meaning that if the market moves sharply against you and losses are greater than the capital in your account, you *will* be liable for the difference.

But just like everything else in trading, it's an individual's responsibility to ensure that they fully comprehend the risks involved and act in their own best interests. If you take account of the risks, the ability to highly leverage your trading capital can be a powerful ally.

If you have a genuine edge in the market that has demonstrated will make money over time, then being able to trade more contracts than you would normally with the capital you have is a distinct advantage. If you stick to a 1-2% risk per trade with a **2-3 point stop** in the ES, you only need \$5,000-15,000 per contract for example.

Clearly there's the opportunity to turn a relatively small amount of capital into a great return.

Futures Markets Have Great LIQUIDITY

In fairness, there are plenty of futures instruments that have poor liquidity just as anything else could that you might look to trade. But there are reasonably high numbers of really great products to trade, with a variety of different behavioral features and risk profiles that also have fantastic liquidity.

Many instruments don't even have a bid-ask spread in the front month contract.

An important point is that futures contracts are agreements to deliver (or take delivery of) the underlying product at a certain date and therefore they expire. So if you hold a long (buy) position in **Crude Oil** into expiry, you will be expected to take delivery and pay for a whole load of barrels of Crude Oil.

Some products are cash settled instead like the ES for example. It's for this very reason that a futures trader will never normally want to hold a position into expiry. The front month is the nearest **expiring futures contract** (except when approaching the expiration date) and this is where the liquidity for an instrument is normally found.

The main point about liquidity though, is that you'll never really have a problem getting into or out of a position in the markets.

CENTRALIZED REGULATED EXCHANGES

The futures industry is highly regulated and whilst there are those who try to get away with nefarious activities, they are often identified swiftly and dealt with appropriately. Regulatory requirements are stringent and are there to protect traders.

And because the exchanges are centrally cleared, effectively meaning that all trades go through the exchange (although this isn't 100% accurate it is

true for the most part), there is accountability for all trades that take place. Simply put, you get what you see in most cases when you trade. Direct market access means no funny business from your broker too. Your trading platform links into the exchange.

Because of this, the quality of futures markets is high.

The bottom line is that if you are a sensible, responsible trader who treats this as a business, futures markets offer a fantastic way to trade. They are efficient, cost effective and properly regulated. Sure, like any other product there are a few nuances to learn.

But if you're serious about trading and day trading in particular, you should seriously consider **trading futures**.

4 Tips to Create a Winning Strategy for Futures Day Traders



We all want to win and be successful traders. Why is it that so many of us fail? What is the difference between the traders that succeed and those that don't? There is no one answer, but a number of elements that work against us as traders. Some of them are:

1. **Emotions:** Failure to learn to control emotion when faced with losses, gains, luck and indecision, which leads to poor decision making.
2. **Timing:** Market timing is a factor you must master to become a successful trader. This is where the majority of traders fall by the wayside.
3. **Capital:** Under capitalization or external pressure to make money. In this do or die situation traders will often feel that the market must produce 'regular' and 'consistent' profits for them or they'll be put into a financial bind. This introduces trade psychology issues and sets a trader up for failure.
4. **Seeking the Golden System:** Failure to stick to one system. Most traders typically take a few losses and then they start trying to change things, tweak things, and then ultimately find something else. They jump from one system to the next without ever really learning the system's rules and methodology. They think they can find a no-fail trading system right away, before they give the system a real trial. The problem with this is

there are no “no-fail” trade systems and unless you truly learn the system you’ll never find success.

Now, how many of these have wreaked havoc in your trading? Personally, I’m probably guilty of making all of these mistakes at one point or another. So, let’s focus on how to avoid these and come up with a plan and strategy to help you develop into a successful Futures Day Trader.

I’m focusing on Futures as this is where I spend most of my time trading. You may have heard some of this before, but this time it will sink in. Go ahead, tell yourself. This time I will apply what I hear and learn. Ok, now that you are ready to absorb, I’m ready to teach.

First and foremost, **pick a market that you like** or are familiar with. Keep in mind it should be one that suits your trade style. You need to make sure you have enough capital to trade that market as well. For example, if you have a \$5,000 account you don’t want to start trading the ES or Oil since they are beyond 2% risk per trade on that size of an account. The NQ or Dow has smaller risk per point, so you and your account can handle a few losses without putting you on that emotional roller coaster.

Now that you have picked a market, you create a plan. If you don’t want to create a plan from scratch, there are several resources through NetPicks to help you. You can request one from our traders/coaches, ask for additional help from a coach, or follow along in the Trade Rooms to develop your own plan based on what is traded in the room.

You will need to test this tradeplan yourself, but some of the work can be eliminated if you choose to go with something you know works for others. It’s best to backtest the plan for at least 6 months. This will give you anticipated results, so you know what to expect when you start to trade. It is important to know, how many wins and losses in a row your market usually gives you, so that you can be prepared mentally and emotionally to trade it.

Next, learn how to **manage your trades** on the platform you will be trading live. This way you can make certain tweaks, such as perfecting your trailing stop. Remember, trade your plan, and don’t deviate from it. If you can execute 25 trades in a row with no errors then you are ready to trade live.

Notice I said 25 trades with no errors, I didn’t say 25 trades without losses.

You will have losses. They are a part of trading. Expect them and get used to them. This will build your confidence, strengthen your emotions and show you that the system you have works. You can see from these 3 steps, I have covered all of the issues above.

Finally, it is time to trade the plan in the live market. This will give you the feel of the market. You'll see how fast it moves and how it responds to news.

Now, you will make mistakes, but don't let them stop you. Learn from each one. Journal after each trade and then look at your results and emotions as you were trading. Did you skip a trade because you did not feel good about it or that you expected the market to go the other way? You can skip a trade if it falls into the parameters of a filter in your trade plan, but if it doesn't you know moving forward that is an issue you'll need to work on. If you find yourself making too many mistakes, then stop trading and reevaluate what you are doing wrong and why. Talk to a coach or mentor. Everyone has been where you are now and the coaches at NetPicks are here to help make you successful.

In a nutshell, what are the keys to becoming a successful Futures Day Trader or really any Day Trader? Take these steps to heart and you will be a better trader!

1. **Have a plan, backtest the market and then practice till you have it down cold.**
2. **Use that plan and backtest data to help get your emotions and psyche under control. If you know what to expect from your testing, the actual trading will be easy and much less emotional.**
3. **Keep your risk low and don't use too much margin. This will keep you in the game. You'll be able to take the next trade after a few losses to come back positive or at least close to it.**
4. **Test the system and know the win percentage. Prove to yourself that it works before risking a dime.**
5. **Finally, share your success and lessons with others. Give back to others, success breeds success!**

- Ron Weiland: Known as "Coach Ron" has mastered the art of forex swing trading